

14. (1.5 points)

Briefly describe six reasons why reinsurers have larger uncertainty in their loss reserves than primary insurers.

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EXAM 7 SPRING 2017 SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 14	
TOTAL POINT VALUE: 1.5	LEARNING OBJECTIVE(S): 11-13
SAMPLE ANSWERS	
<u>Sample 1</u> • Claim report time lag between data of accident to reporting to reinsurer is much longer. • Persistent upward development. Cedant tends to reserve at modal values & under reserve ALAE. Claims the hit reinsurance tend to be larger losses than modes. • Heterogeneity of reporting patterns -> different lines of business, contract type, and underlying product all have different reporting patterns. • Industry data not very useful -> due to heterogeneity. • Reports received by reinsurer usually lack important info. Usually, summary reports and inadequate info on individual claims. • IT system & data coding problems. Usually IT systems cannot keep up with growth of company. Heterogeneous nature of contracts & claims. <u>Sample 2</u> • Data lags to reinsurers are longer than those for primary insurers. • There is persistent upward development of losses for reinsurers. • Due to heterogeneity of coverages, industry statistics aren't very useful. • Heterogeneity also causes IT and data issues for reinsurers. • Reporting patterns can vary by many dimensions like cedant, intermediary, type of contract, attachment points etc. • Management might not believe actuarial indications since the ratio of reserves to surplus are so high. <u>Sample 3</u> • Reinsurers have longer claim report lag since the claim first has to be seen as reportable to the primary insurer then flow through their system to the intermediary, then the reinsurer system. • Reinsurer sees persistent upward claim development due to the primary insurers who usually understate ULAE or reserve at modal value. • Reinsurers have reporting patterns that are heterogeneous since reinsurers cover different line of businesses, different limits, etc. • Reinsurers do not have useful industry statistics due to this heterogeneity. • Reinsurers report lack important information as sometimes this information is summarized as it is for proportional reinsurance. • Reinsurers have data coding and IT problem due to heterogeneity and rapid growth where systems cannot keep up.	
EXAMINER'S REPORT	
Candidates were expected to understand the differences between reinsurers and primary insurers relating to reinsurance and primary reserving methods, impact on assumptions from differences in information available to reinsurers and the underlying business characteristics of reinsurance contracts. Common errors include:	

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- Rephrasing reasoning already mentioned.
- Using the word “heteroskedasticity” instead of the word “heterogeneity”.